POL-015

Supply Chain Due Diligence Policy

Group Functions & All KBC Business Lines

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About this policy: This policy explains how KBC takes responsibility for the human rights and environmental practices of its supply chain — assessing suppliers, engaging with problems, and ensuring we do not knowingly benefit from labour or environmental abuses.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Every organisation that buys goods and services has a supply chain — and every supply chain has the potential to involve labour rights abuses, environmental harm, or other violations of international standards. KBC is no exception. Our IT hardware, facilities services, catering and cleaning contractors, and consultants all create a chain of commercial activity that extends well beyond KBC's own offices. This policy sets out how KBC takes responsibility for that chain.

2. Who This Applies To

This policy applies to all KBC employees involved in procurement, supplier management, and sustainability reporting. It also applies to senior managers who approve significant procurement decisions.

3. What We Mean by Supply Chain Due Diligence

Supply chain due diligence means actively investigating the human rights and environmental practices of the businesses we buy from — and taking action when we find problems. It is not a box-ticking exercise. It requires genuine engagement with our suppliers, honest assessment of the risks in our supply chain, and a willingness to take difficult decisions when suppliers fall short of our standards.

The risks we are looking for include: forced labour and modern slavery; child labour; unsafe working conditions; discrimination and harassment; environmental pollution; and deforestation. These issues exist in global supply chains and are not confined to distant developing countries.

> **Why this matters for a bank**
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> It might not be obvious why a bank needs a supply chain due diligence policy. But KBC buys enormous quantities of IT hardware, data centre equipment, and professional services. The companies that supply those goods employ hundreds of thousands of people globally. Our purchasing decisions have real-world consequences for those workers.

4. How We Assess Our Suppliers

KBC segments its suppliers by spend and risk. Suppliers above EUR 1 million in annual spend in high-risk sectors receive the most intensive assessment: a detailed self-assessment questionnaire, third-party ESG screening, and — for those with the most significant concerns — on-site audits. New suppliers in high-risk categories are assessed before we begin working with them. Existing suppliers are assessed annually.

5. What Happens When We Find a Problem

When due diligence identifies a human rights or environmental concern, KBC's first response is engagement — working with the supplier to understand the issue and agree a remediation plan with clear milestones. However, engagement has limits. If a supplier refuses to engage seriously, or if the concern is so serious that continued business would imply KBC's endorsement of the abuse, we end the relationship.

6. Extending Our Reach — Beyond Direct Suppliers

Experience shows that some of the most serious human rights abuses occur not in our direct suppliers but in the companies that supply them — tier-2 and beyond. KBC is extending its due diligence to cover tier-2 relationships for our most significant strategic suppliers. This is a substantial undertaking, and we are building this capability progressively, prioritising the highest-risk sectors first.

7. Why Documentation Matters

International rules on supply chain due diligence create civil liability for companies that fail to prevent adverse impacts in their supply chains. The best protection against that risk is a well-documented, genuine due diligence process. Records must be retained for at least seven years. If you are involved in supplier due diligence, your documentation standards matter.

8. Your Responsibilities

- In procurement decisions, treat ESG performance as a material factor alongside cost and quality.
- Complete supplier assessments accurately and document your findings.
- Escalate supplier concerns to the sustainability team promptly.
- Retain all due diligence documentation for at least seven years.

9. Getting Help

- **Group Sustainability Team** — for supply chain due diligence guidance.
- **Group CCO Office** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant developments in supply chain due diligence regulation.